

3.3 Decision-making techniques

Subject content	What students need to learn:
3.3.1 Quantitative sales forecasting	a) Calculation of time-series analysis: o moving averages (three period/four quarter) b) Interpretation of scatter graphs and line of best fit – extrapolation of past data to future c) Limitations of quantitative sales forecasting techniques
3.3.2 Investment appraisal	a) Simple payback b) Average (Accounting) Rate of Return c) Discounted Cash Flow (Net Present Value only) d) Calculations and interpretations of figures generated by these techniques e) Limitations of these techniques
3.3.3 Decision trees	a) Construct and interpret simple decision tree diagrams b) Calculations and interpretations of figures generated by these techniques c) Limitations of using decision trees
3.3.4 Critical Path Analysis	a) Nature and purpose of Critical Path Analysis b) Complete and interpret simple networks to identify the critical path c) Calculate: - o Earliest Start Time - o Latest Finish Time - o total float d) Limitations of using Critical Path Analysis